



File No.: EXP202415492

RESOLUTION OF SANCTIONING PROCEDURE

From the procedure instructed by the Spanish Agency for Data Protection and based on the following

BACKGROUND

FIRST: On August 17, 2023, the Director of the Spanish Agency for Data Protection issued a resolution in the sanctioning procedure of file number EXP202303344 followed against HSSERVICE LIZCON SOLUTIONS, S.L. (hereinafter, HLS). In this resolution, in addition to imposing a fine, the following measures were required:

“SECOND: ORDER HSSERVICE LIZCON SOLUTIONS, S.L. to notify the Agency within one month of the adoption of the measures described in the legal grounds of the Agreement of initiation transcribed in this resolution.”

Thus, in the Legal Ground IV.-2 of the Agreement of initiation transcribed in the Resolution, regarding the measures to be required, it is stated:

“(…)

In such a case, in the resolution that is adopted, this Agency may require the responsible party to adapt the processing operations it carries out and the procedure by which they provide their consent for the collection and processing of their personal data to the regulations on personal data protection within the timeframe determined; all of this within the scope expressed in the Legal Grounds of this agreement and without prejudice to what results from the instruction.”

(…)”

SECOND: The notification of the resolution of the sanctioning procedure, in which HLS was granted a period of one month for the adoption of the ordered measures, was carried out in accordance with the rules established in Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP) through electronic means, not being collected by the responsible party within the availability period, as stated in the acknowledgment of receipt in the file, and therefore understood to have been made in accordance with the provisions of articles 43.2 and 41.5 of the LPACAP on August 28, 2023.

THIRD: After the indicated period elapsed without any written communication regarding the implemented measures being received by this Agency, HLS was again required on three occasions to provide evidence to this Agency within ten working days that it had adopted the appropriate corrective measures, in accordance with what was agreed in the aforementioned Resolution.

The notification of the first requirement, which was carried out by electronic means, was not collected by the responsible party within the availability period, as stated in the acknowledgment of receipt in the file, and therefore understood to have been made in accordance with the provisions of articles 43.2 and 41.5 of the LPACAP on March 26, 2024.

The notification of the second requirement, which was sent by postal mail, was returned to the sender by Correos as unknown on October 17, 2024, as stated in the acknowledgment of receipt in the file, despite having been sent to the registered office of HLS as recorded in the Commercial Registry.

The notification of the third requirement, which was sent by postal mail, was returned to the sender by Correos due to incorrect address on October 28, 2024, as stated in the acknowledgment of receipt in the file, despite having been sent to the tax address of HLS provided by the State Agency for Tax Administration.

In accordance with article 42.1 of the LPACAP, the notifications of the requirements sent by post were also made available to the interested party by electronic means through the single enabled electronic address.

FOURTH: HLS has not sent any response to this Agency that certifies compliance with the imposed measures.

FIFTH: Against the aforementioned resolution, in which the adoption of measures is required, no ordinary administrative appeal can be filed due to the expiration of the established deadlines for that purpose. Furthermore, the interested party has not expressed their intention to file a

contentious-administrative appeal, nor does this Agency have any record of such an appeal being filed or of a request for precautionary suspension of the resolution.

SIXTH: On November 12, 2024, the Director of the Spanish Agency for Data Protection agreed to initiate a sanctioning procedure against HLS for the alleged infringement of Article 58.2 of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR), classified under Article 83.6 of the GDPR.

SEVENTH: The initiation agreement of the present sanctioning procedure was notified to HLS, in accordance with the rules established in the LPACAP, through electronic means, not being collected by the responsible party within the availability period, as stated in the acknowledgment of receipt in the file, and therefore understood to have been rejected and the procedure carried out in accordance with the provisions of articles 43.2 and 41.5 of the LPACAP on November 23, 2024.

EIGHTH: The aforementioned initiation agreement was notified in accordance with the rules established in the LPACAP and after the period granted for the submission of allegations had elapsed, it has been confirmed that no allegations have been received from HLS.

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Article 64.2.f) of the LPACAP - a provision of which HLS was informed in the agreement to open the procedure - establishes that if no allegations are made within the stipulated period regarding the content of the initiation agreement, when it contains a precise statement regarding the attributed responsibility, it may be considered a proposal for resolution. In this case, the initiation agreement of the sanctioning file determined the facts on which the accusation was based, the infringement of the GDPR attributed to HLS, and the sanction that could be imposed. Therefore, considering that HLS has not made any allegations regarding the initiation agreement of the file and in accordance with the provisions of Article 64.2.f) of the LPACAP, the aforementioned initiation agreement is considered, in this case, a proposal for resolution.

NINTH: According to the report obtained from the AXESOR tool, the entity HSSERVICE LIZCON SOLUTIONS, S.L. is an SME (Microenterprise) established in 2015 with a turnover of (...) euros in 2023.

In view of all that has been acted upon, the following facts are considered proven by the Spanish Agency for Data Protection in the present procedure,

PROVEN FACTS

FIRST: The resolution of the sanctioning procedure and the requirements for compliance indicated in the first, second, and third antecedents were notified in accordance with the provisions of the LPACAP. Said resolution became final and enforceable due to the expiration of the deadlines provided for the filing of the appeals indicated therein.

SECOND: HLS has not submitted any response to this Agency that proves compliance with the imposed measures.

LEGAL GROUNDS

I

Competence

In accordance with the powers granted to each supervisory authority by Article 58.2 of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR), and as established in Articles 47, 48.1, 64.2, and 68.1 of Organic Law 3/2018, of December 5, on the Protection of Personal Data and guarantee of digital rights (hereinafter, LOPDGDD), the Director of the Spanish Agency for Data Protection is competent to initiate and resolve this procedure.

II

Procedure

Furthermore, Article 63.2 of the LOPDGDD states: "The procedures processed by the Spanish Agency for Data Protection will be governed by the provisions of Regulation (EU) 2016/679, by this organic law, by the regulatory provisions issued in its development, and, as long as they do not contradict

them, subsidiarily by the general rules on administrative procedures.”

In accordance with Article 64 of the LOPDGDD, and taking into account the characteristics of the alleged infringement committed, a sanctioning procedure is initiated.

The procedure will have a maximum duration of twelve months from the date of the initiation agreement. After this period, it will expire, and consequently, the file will be archived; in accordance with the provisions of Article 64 of the LOPDGDD.

III

Obligation breached

In light of the facts presented, it is considered that HLS has breached the resolution of the Spanish Agency for Data Protection.

Therefore, the facts described in the “Proven Facts” section are deemed to constitute an infringement, attributable to HLS, for violation of Article 58.2.d) of the GDPR, which states the following:

“2. Each supervisory authority shall have all of the following corrective powers:

(...)

d) to order the controller or processor to bring processing operations into compliance with the provisions of this Regulation, where appropriate, in a specific manner and within a specified time frame;”

IV

Classification and qualification of the infringement

This infringement is classified under Article 83.6 of the GDPR, which stipulates the following:

“Failure to comply with the resolutions of the supervisory authority under Article 58, paragraph 2, shall be sanctioned in accordance with paragraph 2 of this article with administrative fines of up to 20,000,000 EUR or, in the case of an enterprise, an amount equivalent to 4% of the total annual global turnover of the preceding financial year, opting for the higher amount.”

For the purposes of the statute of limitations for infringements, the infringement attributed prescribes after three years, in accordance with Article 72.1 of the LOPDGDD, which qualifies the following conduct as very serious:

“m) The failure to comply with the resolutions issued by the competent data protection authority in the exercise of the powers conferred by Article 58.2 of Regulation (EU) 2016/679.”

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Imposed Sanction

In order to determine the administrative fine to be imposed, the provisions of Articles 83.1 and 83.2 of the GDPR must be observed, which state:

“1. Each supervisory authority shall ensure that the imposition of administrative fines under this article for the infringements of this Regulation referred to in paragraphs 4, 9, and 6 are, in each individual case, effective, proportionate, and dissuasive.

2. Administrative fines shall be imposed, depending on the circumstances of each individual case, as an additional or substitute measure to those provided for in Article 58, paragraph 2, letters a) to h) and j). In deciding on the imposition of an administrative fine and its amount in each individual case, the following shall be duly taken into account:

a) the nature, gravity, and duration of the infringement, taking into account the nature, scope, or purpose of the processing operation in question, as well as the number of data subjects affected and the level of damage suffered;

b) the intentionality or negligence in the infringement;

c) any measures taken by the controller or processor to mitigate the damage suffered by the data subjects;

d) the degree of responsibility of the controller or processor, taking into account the technical or organizational measures they have implemented pursuant to Articles 25 and 32;

- e) any previous infringements committed by the controller or processor;
- f) the degree of cooperation with the supervisory authority in order to remedy the infringement and mitigate the possible adverse effects of the infringement;
- g) the categories of personal data affected by the infringement;
- h) the manner in which the supervisory authority became aware of the infringement, in particular whether the controller or processor notified the infringement and, if so, to what extent;
- i) when the measures indicated in Article 58, paragraph 2, have been previously ordered against the controller or processor in relation to the same matter, the compliance with such measures;
- j) adherence to codes of conduct under Article 40 or to certification mechanisms approved under Article 42, and
- k) any other aggravating or mitigating factor applicable to the circumstances of the case, such as the financial benefits obtained or the losses avoided, directly or indirectly, through the infringement.”

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For its part, Article 76 “Sanctions and corrective measures” of the LOPDGDD provides:

“1. The sanctions provided for in paragraphs 4, 5, and 6 of Article 83 of Regulation (EU) 2016/679 shall be applied taking into account the criteria for graduation established in paragraph 2 of the aforementioned article.

2. In accordance with the provisions of Article 83.2.k) of Regulation (EU) 2016/679, the following may also be taken into account:

- a) The continued nature of the infringement.
- b) The connection of the infringer's activity with the processing of personal data.
- c) The benefits obtained as a result of the commission of the infringement.
- d) The possibility that the behavior of the affected party may have induced the commission of the infringement.
- e) The existence of a merger by absorption after the commission of the infringement, which cannot be attributed to the absorbing entity.
- f) The impact on the rights of minors.
- g) Having, when not mandatory, a data protection officer.
- h) The voluntary submission by the controller or processor to alternative dispute resolution mechanisms, in cases where there are disputes between them and any data subject.”

Furthermore, to ensure a consistent application of the GDPR, the Guidelines 04/2022 issued by the European Data Protection Board on the calculation of fines under the GDPR must be taken into consideration.

In this case, considering the severity of the possible infringement, particularly regarding the consequences that its commission causes to the affected parties, the imposition of a fine would be appropriate, in addition to the adoption of measures, if applicable.

The fine imposed must be, in each case, individual, effective, proportionate, and dissuasive, in accordance with the provisions of Article 83.1 of the GDPR. To ensure these principles, the turnover of HLS is considered in advance.

Moreover, the GDPR provides for maximum amounts in Article 83, paragraphs 4 to 6, which group several types of different conduct. In this regard, it is noted that the infringement determined in this procedure is classified under Article 83.6 of the GDPR, therefore, within the set of more serious infringements that have a higher sanctioning range.

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Finally, it should be noted the seriousness of the infringement in accordance with Article 83.2.a), specifically due to its nature, given the protected interests and its place within the framework of personal data protection. By failing to demonstrate compliance with measures aimed at correcting the effects of an infringement or aligning a processing operation with legality, a continued illicit situation is being maintained, in addition to disobeying the corrective powers that the GDPR grants to supervisory authorities to fulfill their primary task: to monitor the application of the GDPR and enforce it. In light of the circumstances presented, due to the violation of Article 58.2 of the GDPR classified under Article 83.6 of the GDPR, it is appropriate to impose an administrative fine on HLS in the amount of 15,000.00 euros.

VI

Corrective Measures

This Agency agrees to impose on the responsible party the adoption of appropriate measures to align its actions with the regulations mentioned in this act, in accordance with the provisions of the aforementioned Article 58.2 d) of the GDPR, according to which each supervisory authority may "order the controller or processor to ensure that the processing operations comply with the provisions of this Regulation, where appropriate, in a specific manner and within a specified time frame...".

It is warned that failure to comply with the order to adopt measures imposed by this agency in the sanctioning resolution may be considered an administrative infringement in accordance with the provisions of the GDPR, classified as an infringement in its Article 83.6, and such conduct may lead to the initiation of further administrative sanctioning proceedings.

Therefore, in accordance with the applicable legislation, the Director of the Spanish Agency for Data Protection RESOLVES:

FIRST: TO IMPOSE on HSSERVICE LIZCON SOLUTIONS, S.L., with NIF B87438198, for an infringement of Article 58.2 of the GDPR, classified under Article 83.6 of the GDPR, a fine of 15,000.00 euros (FIFTEEN THOUSAND euros).

SECOND: TO ORDER HSSERVICE LIZCON SOLUTIONS, S.L., with NIF B87438198, that pursuant to Article 58.2.d) of the GDPR, within one month from the date this resolution becomes final and enforceable, to demonstrate compliance with the measures imposed in the framework of case number EXP202303344.

THIRD: TO NOTIFY this resolution to HSSERVICE LIZCON SOLUTIONS, S.L.

FOURTH: This resolution will be enforceable once the period for filing the optional appeal for reconsideration (one month from the day following the notification of this resolution) has elapsed without the interested party having exercised this right.

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The sanctioned party is warned that they must comply with the imposed sanction once this resolution becomes enforceable, in accordance with the provisions of Article 98.1.b) of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter LPACAP), within the voluntary payment period established in Article 68 of the General Collection Regulation, approved by Royal Decree 939/2005, of July 29, in relation to Article 62 of Law 58/2003, of December 17, by making the payment, indicating the NIF of the sanctioned party and the procedure number that appears in the heading of this document, into the restricted account No.

IBAN: ES00-0000-0000-0000-0000-0000 (BIC/SWIFT Code: CAIXESBBXXX), opened in the name of the Spanish Agency for Data Protection at the banking entity CAIXABANK, S.A. Otherwise, collection will proceed in the executive period.

Upon receipt of the notification and once it is enforceable, if the date of enforceability falls between the 1st and the 15th of each month, inclusive, the deadline for voluntary payment will be until the 20th of the following month or the next business day thereafter, and if it falls between the 16th and the last day of each month, inclusive, the payment deadline will be until the 5th of the second following month or

the next business day thereafter.

In accordance with the provisions of Article 50 of the LOPDGDD, this Resolution will be made public once it has been notified to the interested parties.

Against this resolution, which concludes the administrative procedure in accordance with Article 48.6 of the LOPDGDD, and in accordance with the provisions of Article 123 of the LPACAP, the interested parties may optionally file a motion for reconsideration before the Director of the Spanish Agency for Data Protection within one month from the day following the notification of this resolution or directly file a contentious-administrative appeal before the Contentious-Administrative Chamber of the National Court, in accordance with the provisions of Article 25 and Section 5 of the fourth additional provision of Law 29/1998, of July 13, regulating the Contentious-Administrative Jurisdiction, within two months from the day following the notification of this act, as provided in Article 46.1 of the aforementioned Law. Finally, it is noted that in accordance with the provisions of Article 90.3 a) of the LPACAP, the firm resolution in the administrative procedure may be provisionally suspended if the interested party expresses their intention to file a contentious-administrative appeal. If this is the case, the interested party must formally communicate this fact by means of a written document addressed to the Spanish Agency for Data Protection, submitting it through the Electronic Registry of the Agency [<https://sedeagpd.gob.es/sede-electronica-web/>], or through any of the other registries provided for in Article 16.4 of the aforementioned Law 39/2015, of October 1. They must also provide the Agency with documentation that proves the effective filing of the contentious-administrative appeal. If the Agency is not aware of the filing of the contentious-administrative appeal within two months from the day following the notification of this resolution, it will consider the provisional suspension to be concluded.

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